

Infosys Limited (NSE: INFY / NYSE: INFY) — Fundamental Research Report

Prepared July 27, 2026 | Sector: IT Services & Consulting | Headquarters: Bengaluru, India

1. Executive Summary

Infosys is India's second-largest IT services exporter, reporting Q1 FY2027 (quarter ended June 2026) revenue of **■48,211 crore** (~\$5.08B), up 14.03% year-on-year, and profit after tax of **■7,775 crore**, up 12.29% year-on-year. The company trimmed its FY2027 constant-currency revenue growth guidance to 1.5%–3.0% (from 1.5%–3.5%), and its ADRs fell on the results day. Valuation multiples (trailing P/E ~13.2x, EV/EBITDA ~9.3x as of late July 2026) sit below the stock's own 5- and 10-year historical averages, reflecting a roughly 40% share-price decline over the past year amid sector-wide concern about AI's impact on IT-services demand. The balance sheet remains very lightly levered (debt/equity ~0.10, current ratio ~1.86) with strong returns on capital. A leadership transition is underway, with Ashiss Kumar Dash named CEO Designate ahead of taking over as CEO/MD on April 1, 2027.

2. Company Overview

Infosys Limited is a global IT services, consulting, and business-process management company headquartered in Bengaluru, India, with a large workforce (historically 300,000+ employees). Its largest revenue verticals in Q1 FY2027 were Financial Services (27.9% of revenue), Manufacturing (15.9%), Energy/Utilities/Resources/Services (13.4%), and Retail (12.8%). Geographically, North America accounted for 56.4% of revenue and Europe for 32.1%. Client concentration is low and improving: the top 5 clients represented 12.1% of revenue and the top 25 clients 33.9%. The company has been investing heavily in AI-led services through its Infosys Topaz platform, with AI contributing 8.2% of Q1 FY2027 revenue.

3. Financial Performance

Recent quarterly performance (consolidated, per company results and Q1 FY27 filings):

Metric	Q1 FY26 (Jun 2025)	Q1 FY27 (Jun 2026)	YoY Change
Revenue from operations	■42,279 cr	■48,211 cr	+14.03%
Profit after tax (PAT)	■6,921 cr	■7,775 cr	+12.29%
EBITDA margin	23.52%	23.66%	+15 bps
PAT margin	16.38%	16.13%	-25 bps
Large deal TCV (quarter)	\$3.8B	\$3.6B	-

Sequentially, PAT declined 8.63% from Q4 FY26 (**■8,509 crore**), consistent with a seasonally stronger Q4 and a higher tax outgo in Q1. Trailing-twelve-month figures (per stockanalysis.com, as of July 25, 2026) show diluted EPS of **■71.54**, operating cash flow of \$4.09B, capital expenditure of \$288M, and free cash flow of \$3.80B (FCF conversion above 100% of net income). For FY2027, management guides to 1.5%–3.0% constant-currency revenue growth and a 20%–22% operating margin band.

4. Valuation

Metric	Value (as of Jul 25, 2026)
Market capitalization	\$43.77B
Enterprise value	\$41.66B
Trailing P/E	13.17x
Forward P/E	13.26x
EV/EBITDA	9.32x
EV/FCF	10.95x
Dividend yield	4.02%
52-week price range (NSE)	■982.40 - ■1,728.00

Infosys's trailing P/E of ~13-15x (estimates vary slightly by source and date) sits well below its own 10-year median of roughly 22-25x and below the broader software-industry median cited by GuruFocus (~20.6x) as of mid-2026. This compression tracks a roughly 40% decline in the ADR price over the trailing 12 months, which several sources attribute to investor concern over AI's potential to compress IT-services demand and pricing sector-wide, rather than to a company-specific event. **Note:** valuation figures move daily and vary by data provider (e.g., market cap was reported near \$50.7B in late May 2026 versus \$43.8B in late July 2026); treat the figures above as a late-July-2026 snapshot rather than a fixed number.

5. Debt & Liquidity

Metric	Value
Current ratio	1.86
Debt / Equity	0.10
Return on equity (ROE)	32.00%
Return on invested capital (ROIC)	41.69%
Altman Z-Score	9.44
Piotroski F-Score	5 / 9

Infosys carries very little leverage relative to its equity base and maintains healthy short-term liquidity. The Altman Z-Score of 9.44 is far above the distress threshold (typically ~3.0 is considered safe), indicating minimal near-term bankruptcy risk by that model. Returns on equity and invested capital are both strong, consistent with an asset-light services business model.

6. Competitive & Industry Context

Infosys competes primarily with Tata Consultancy Services (TCS), Wipro, HCL Technologies, Tech Mahindra, Cognizant, and Accenture in global IT services and consulting. As of July 2026, the combined market capitalization of the top five Indian IT firms (TCS, Wipro, Infosys, HCL Tech, Tech Mahindra) had fallen more than 46% from its August 2024 peak, as investors reassessed sector growth prospects amid slowing global technology spending and concerns that AI could disrupt traditional IT-services demand. Within that backdrop, some sell-side analysts (e.g., JPMorgan, per Business Today) have named Infosys among their preferred picks in the sector, citing its AI/automation investments

(the Topaz platform) and diversified client base, while flagging peers such as Wipro and HCLTech as relative underweights. Sector-wide, mid-tier firms such as Coforge and Persistent have been highlighted by some analysts as growing faster than large-cap peers including Infosys in certain recent quarters.

7. Recent News & Risks

- **Leadership transition:** Infosys's board has appointed Ashiss Kumar Dash as CEO Designate, with the intention to appoint him CEO and Managing Director effective April 1, 2027, succeeding Salil Parekh, subject to statutory approvals.
- **Guidance trim:** FY2027 constant-currency revenue growth guidance was narrowed to 1.5%-3.0% from 1.5%-3.5% given three months earlier; the ADR fell roughly 5% on the day results were announced.
- **Workforce actions:** Management has publicly stated it does not plan mass layoffs and is maintaining fresher hiring (targeting roughly 20,000 new graduate hires in FY2027). Separately, several reports (People Matters, Business Today, and others) describe smaller-scale job reductions in early 2026, including trainee-assessment-linked terminations and the closure of a Pennsylvania facility that reportedly triggered a WARN Act inquiry. These are contested characterizations ("performance management" versus "layoffs") depending on the source, and should be verified against primary company disclosures.
- **Sector/macro risk:** Tariff policy and slowing U.S./European technology spending are cited across multiple sources as a risk to retail- and manufacturing-sector client budgets, a meaningful part of Infosys's book of business.
- **AI disruption narrative:** The broader concern weighing on Indian IT-services valuations is that generative AI could shrink the labor-intensive, staff-augmentation portion of the industry's revenue pool over time, even as companies like Infosys report rising AI-linked revenue in the near term.

8. Sources & As-Of Date

Compiled July 27, 2026 from public sources including company Q1 FY2027 results coverage (Business Standard, India Infoline, InfotechLead, StockTitan/SEC filing summary), stockanalysis.com (valuation/debt statistics, dated July 25, 2026), GuruFocus, Value Research Online, MarketScreener, Business Today, and Outlook Business / People Matters (workforce reporting). Figures from different providers do not always agree exactly (e.g., reported PAT of ₹7,775 crore vs. ₹7,769 crore across sources) — such small discrepancies are common across financial data aggregators and are noted rather than reconciled.

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